Brazil Macro Monthly

Soft patch should not produce significant disinflation

- The global economy has been positive for Emerging Markets. Growth decelerated but remains firm in the US and China. The Fed will probably resume its easing cycle this month. But geopolitical uncertainties remain elevated, which could trigger another round of global risk aversion at any time.
- Jair Bolsonaro's trial at the Supreme Court takes place amidst expectations of a preferred candidate to have his support for next year's elections.
- The expected economic slowdown (and heterogeneous across sectors) becomes more evident. We continue to expect GDP to expand by 2.2% in 2025 and 1.7% in 2026.
- We see the government meeting its primary result target this year, but spending pressures suggest the need for additional expenditure blocks. Next year brings a similar picture, with a feasible target but spending challenges.
- We kept our FX forecast at 5.50 reais per dollar for YE 2025 and 5.70 for YE 2026. We increased our current account deficit forecast once again - to 3.3% of GDP from 3.2% - this time due to lower inflows from Brazilian firms operating abroad.
- Goods prices remain well-behaved in the short term, but a tight labor market still poses challenges to services inflation. We, therefore, maintained our IPCA projections at 4.8% for 2025 and 4.5% for 2026.
- Despite the somewhat improvement in inflation, it is too early to discuss rate cuts. BCB officials continue to emphasize that the Selic rate should stay put for a "very prolonged time". We see a gradual easing cycle starting in January, with the policy rate reaching 12.00% after six consecutive 50-bp cuts.

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XP Forecasts

	2020	2021	2022	2023	2024	2025 (F)	2026 (F)
GDP growth (%)	-3.3	4.8	3.0	3.2	3.4	2.2	1.7
Unemployment rate (% s.a., end of period)	14.7	11.7	8.3	7.6	6.5	6.0	6.3
IPCA (CPI, %)	4.5	10.1	5.8	4.6	4.8	4.8	4.5
SELIC rate (% p.a., end of period)	2.00	9.25	13.75	11.75	12.3	15.00	12.00
FX (USDBRL, end of period)	5.20	5.58	5.28	4.86	6.2	5.50	5.70
Central government primary balance (% GDP)	-9.8	-0.4	0.5	-2.4	-0.4	-0.5	-0.6
Primary balance for target calculation (% GDP)*	--	--	--	--	-0.1	-0.1	-0.1
Public sector primary balance (% GDP)	-9.2	0.7	1.2	-2.3	-0.4	-0.5	-0.6
Public sector overall balance (% GDP)	-13.6	-4.3	-4.6	-8.8	-8.5	-8.1	-8.3
General government gross debt (% GDP)	86.9	77.3	71.7	73.8	76.5	79.0	83.4
Net public sector debt (% GDP)	61.4	55.1	56.1	60.4	61.5	64.3	67.7
Trade Balance (USD Bn)	35.7	42.3	51.5	92.3	65.8	52.4	53.7
Exports (USD Bn)	210.7	284.0	340.2	343.8	339.9	342.3	350.9
Imports (USD Bn)	175.0	241.7	288.7	251.5	274.0	289.9	297.2
Current Account (USD Bn)	-24.9	-40.4	-42.2	-27.9	-61.2	-75.0	-72.4
Current Account (% GDP)	-1.7	-2.4	-2.2	-1.3	-2.8	-3.3	-3.0
FDI (USD Bn)	38.3	46.4	74.6	62.4	71.1	70.0	65.0
FDI (% GDP)	2.6	2.8	3.8	2.9	3.2	3.0	2.7
Nominal GDP (USD Bn)	1,475	1,670	1,951	2,190	2,178	2,298	2,415
Nominal GDP (BRL Bn)	7,610	9,012	10,080	10,943	11,745	12,686	13,522

* Excludes court-ordered payments beyond the limit

Source: IBGE, BCB, BBG, XP

Foreword – One eye on disinflation, the other on political developments

Economic activity and inflation recent evolution improved have been positive for monetary policy in the US and in Brasil. The case is clearer for the former, and the Fed will probably resume cutting rates this month. For the BCB, the outlook is more challenging, even with likely support from its US counterpart.

Economic activity lost some steam in the second quarter, but government growth supportive measures should spur domestic activity after a soft patch. 2026 is an electoral year, after all. We believe growth over the next five to six quarters will average around potential. Thus, one should not expect much additional disinflation ahead coming from output gap.

IPCA inflation has come out below expectations in recent month, with an encouraging breakdown. Core inflation has reversed its upward trend and is now running around 4.5% (after peaking at 6.0% in the first half of the year), while inflation expectations have started to decline. But they are still far from the 3.0% target. The next stretch toward the BCB's goal will be more difficult, given that the effects of a stronger BRL are fading, the economy is only gradually slowing, and the labor market remains tight.

We continue to expect the BCB to begin a gradual easing cycle in January, bringing the Selic rate to 12.00% by the end of 2026. Monetary policy has to remain restrictive, since fiscal policy will probably remain expansionary. Further rate cuts that would bring the Selic closer to its neutral level (around 9.00–10.00%, in our view) depend on the outlook for fiscal reforms that curb the pace of government spending in the coming years.

The probability of those reforms is related to the campaigns for 2026 presidential elections. For that reason, markets will continue to be sensitive to polls and other events related to the electoral process, even with elections still far away.

Other political events, such sanctions from the US government on Brazil need to be closely monitored. We believe the 50% trade tariffs imposed on several Brazilian products will have a limited macroeconomic impact, especially given the recently announced government support measures. Still, other political measures have uncertain consequences and may escalate going forward.

Global backdrop – Good economic momentum, amid elevated political tensions

Caio Megale

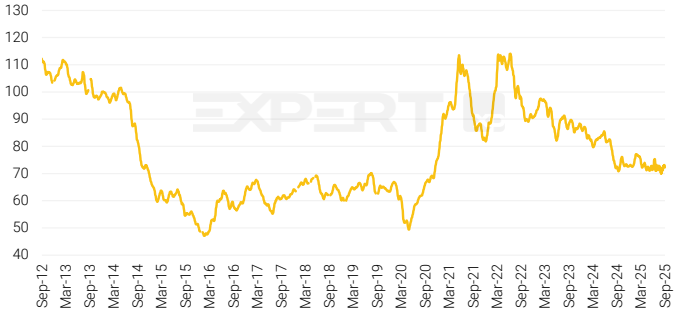
Global economy has been positive for Emerging Markets. Growth decelerated but remains firm in the US and China. Inflation has been benign, not showing (so far) any relevant sign of the higher trade tariffs. Commodity prices have moved sideways for quite some time, albeit with some volatility.

Fed cuts: from "at most" to "at least". Until recent payroll figures revision, markets were expecting at most two Fed Funds rate cuts this year. After realizing that the labor market is weaker than believed and after the latest Fed chair Powell dovish speech, most analysts now expect at least two cuts in 2025, with additional reductions likely in 2026. This is of course a positive development for EM in general, and Brazil in particular.

Geopolitical tensions are not to be forgotten. Despite the positive economic/market momentum, geopolitical risk remains elevated. It is difficult to imagine that the trade war will not hit the economy sooner or later. Military tensions in Ukraine and the Middle East are far from resolved. That environment keeps market volatility elevated and can trigger another round of global risk aversion at any moment.

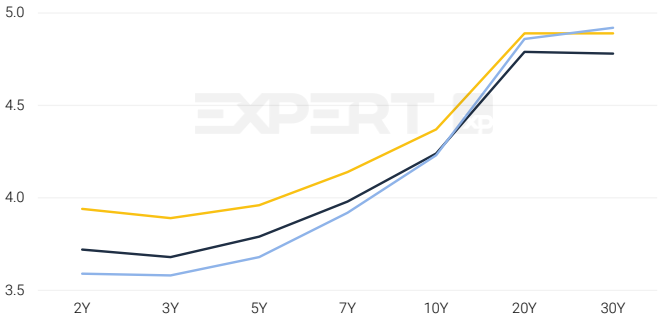
Fed affair. Another relevant risk to be monitored is the movements from President Trump against the Fed. The most recent chapter was the dismissal of board member Lisa Cook. Mixing politics with monetary policy management is a risky business anywhere, let alone in the most important economy with the most credible monetary authority in the world. It could push another US depreciation, but the impact on EM asset prices would depend on the effects on global risk aversion.

Commodity prices have moved sideways for quite some time, albeit with some volatility
Price index of the main Brazilian commodities exported* (USD)



Source: BBG, XP
* Soybeans, corn, oil and iron ore

US yield curve has steepened, reflecting expected rate cuts in the short term and increased institutional risks over the long run
US yield curve (%)



Source: BBG

BRAZIL – Soft patch should not produce significant disinflation

Political environment – With Bolsonaro's trial at the STF, September will have relevant stages for the 2026 electoral scenario

Paulo Gama, Bárbara Baião, Bianca Lima e João Paulo Machado

September in politics will be guided by relevant stages to define the 2026 electoral scenario.

On September 12th, the last session of the Supreme Court's First Panel is scheduled to judge Jair Bolsonaro in the case regarding the attempted coup d'état in 2023. The publication of the decision should be followed by the former president's defense filing appeals that have the potential to prolong the discussion and, eventually, take the case to the full court. Even with the possibility of the process being prolonged before it becomes final and unappealable, the conviction itself is a relevant stage because, with it, there is an expectation from the political establishment that Bolsonaro will gain elements that could, in the future, lead him to recognize the impossibility of running for the Planalto Palace in 2026 and facilitate the decision to support an alternative candidacy.

At the same time, centrist parties are expected to reinforce Governor Tarcísio de Freitas's participation in the efforts to keep the amnesty in focus throughout the month, signaling solidarity with the former president, in order to strengthen their choice as the safest path for the 2026 race. The move reflects the group's perception that their support for the governor — without Jair Bolsonaro's consent — is not enough for the candidacy's consolidation. The vote on the amnesty bill still depends on broader agreements involving the leadership of Congress, including its scope, which have not yet been finalized.

However, the pro-Tarcísio movement is not happening without resistance from the Bolsonaro family, especially Eduardo, who is expected to reinforce his claim to be chosen by his father as the group's representative next year — a move that could even be encouraged if expectations for new sanctions from the United States are confirmed following the conclusion of the Supreme Court trial. Even so, there are limits to Eduardo's strategy, as made clear by the actions of the centrist parties and the Supreme Court.

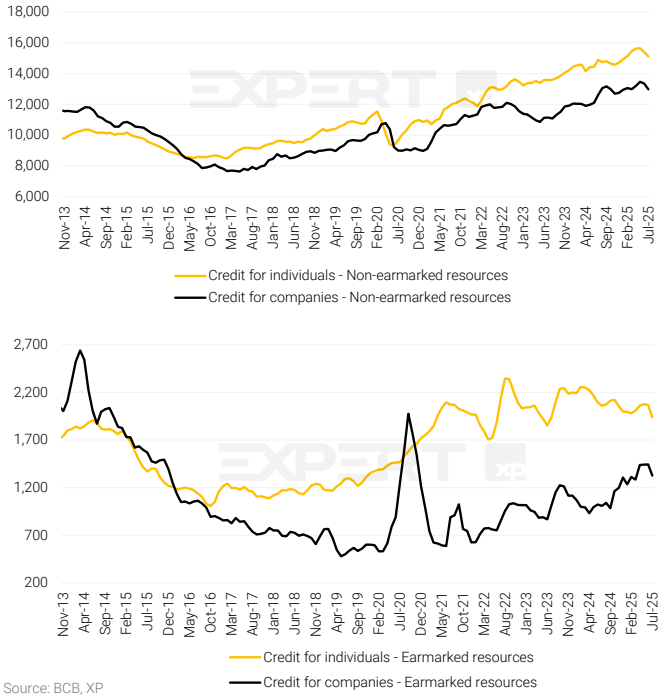
September also concentrates relevant moments for defining the Planalto Palace's priority agenda for the remainder of Lula's term. The position of congressman Arthur Lira on the income tax reform is expected to be defined. The proposal, which exempts those who earn up to BRL 5,000 per month

from the Income Tax, is the government's main bet for the election year. After the report was approved in the special committee, negotiations were prolonged with the possibility that the compensation for the revenue waiver would also include changes to the CSLL of banks. the bill's popular support, the expectation is that the exemption will be approved without reservations — and, although with more difficulties, the government should also be able to partially advance on the presented compensations.

On another front relevant to the Planalto Palace, discussions should continue on Provisional Measure 1303, which needs to be voted on by October 8th to not expire. The rapporteur, congressman Carlos Zarattini, is expected to present his in mid-September. The resistance gains weight as the calendar advances, but the outlook still allows for a scenario of approval, with the text presented by the government being watered down on key points.

In addition, the activities of the Joint Parliamentary Committee of Inquiry (CPMI) on the INSS (Social Security Institute) are expected to continue. With the government's defeat in the race for the committee's presidency — and consequently for the rapporteur's nomination — the Planalto Palace should now focus efforts on preventing the wear and tear from intensifying in the coming weeks.

Cooling credit concessions amid rising interest rates and indebtedness levels
Real daily average (BRL Mn). 3MMA. SAS



Source: BCB, XP

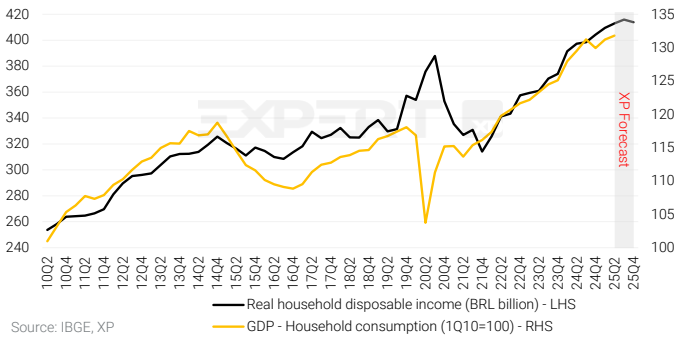
Activity – A temporary and heterogeneous slowdown

Rodolfo Margato

Brazil's GDP loses steam amid cooling domestic demand. Total GDP rose by 0.4% QoQ in Q2, following a significant 1.3% QoQ increase in the previous quarter. This result came roughly in line with expectations (our estimate was 0.3% QoQ). Breakdown data brought mixed signals. On the supply side, the services sector showed resilience, with expansion in most of its components. Besides, activities less sensitive to the economic cycle – such as agriculture and the extractive industry – performed robustly. Meanwhile, the manufacturing industry and construction remained on a falling trajectory. On the demand side, fixed asset investment dropped after a long period of growth, contrasting with the strength of household consumption.

Moderation in growth should continue. Sectors more sensitive to monetary policy have been weakening, particularly capital goods and durable consumer goods. Credit concessions have declined in recent months, both for companies and individuals, in line with rising interest rates and the high household debt service ratio.

Household consumption should grow in the coming quarters, albeit moderately
SAS



Source: IBGE, XP

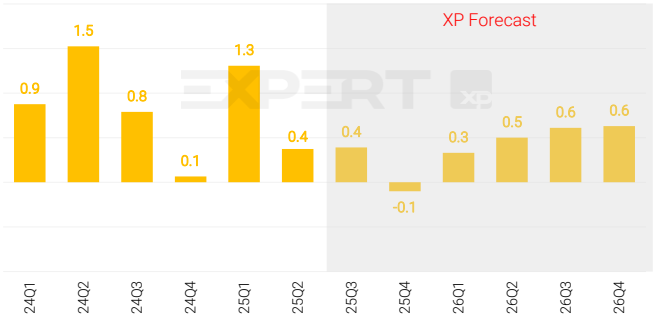
A tight labor market will prevent a trend reversal in the short term. There will be factors supporting domestic activity in the coming quarters. The unemployment rate has been renewing all-time lows, and labor income is growing steadily – we expect it to rise by approximately 5% above inflation this year. Furthermore, fiscal transfers remain elevated. The massive payment of Court-ordered debts in Q3 (see the "Fiscal Accounts" section) will probably increase consumption of goods and services, especially between August and September. Accordingly, we forecast a 0.4% QoQ gain for Q3 GDP.

As a result, we continue to expect GDP to rise by 2.2% in 2025. Income boosts should offset, albeit partially, the effects of contractionary monetary policy. Overall economic activity is likely to grow moderately this semester.

Our expectation for 2026 GDP growth remains at 1.7%, although we assign an upward bias. Interest rates will remain at restrictive levels, despite the monetary easing cycle expected for next year. However, the tight labor market scenario will persist, as will fiscal and quasi-fiscal stimuli in the year of the general elections. In this regard, we highlight the impact of the Income Tax exemption for workers who earn up to BRL 5,000/month (and discounts for those earning up to approximately BRL 7,300/month). Our baseline scenario already incorporates a net effect of 0.3 pp on 2026 GDP growth.

We do not anticipate any slack in the factors of production. The output gap – the difference between actual GDP and potential GDP – is just below 1.0 pp, according to our calculations. We believe the slack measure will not reach neutrality until the end of 2026.

GDP is expected to gain steam throughout 2026
Total GDP. QoQ. SAS (%)



Source: IBGE, XP

XP Forecast (%)

GDP Breakdown	2023	2024	2025 (F)	2026 (F)
Agriculture & Livestock	16.3	-3.2	8.0	3.5
Industry	1.7	3.3	1.3	1.1
Services	2.8	3.7	2.0	1.8
Total GDP	**3.2**	**3.4**	**2.2**	**1.7**
Household Consumption	3.2	4.8	2.1	2.0
Government Consumption	3.8	1.9	1.4	1.8
Gross Fixed Capital Formation	-3.0	7.3	4.3	1.6
Exports	8.9	2.9	2.7	2.2
Imports (-)	-1.2	14.7	4.0	2.5

Source: IBGE, XP

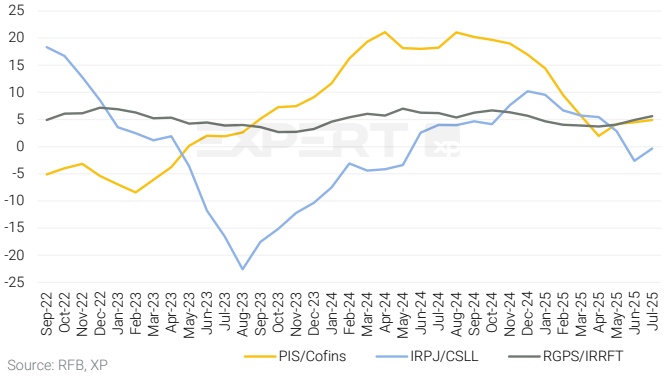
Public finances – Formal primary balance target can be achieved in 2026, but complying with the spending limit remains challenging.

Tiago Sbardelotto

The central government has accumulated a deficit of BRL 70.3 billion this year. The payment of court-ordered debts in July led the central government to record a deficit of BRL 59.1 billion, the worst since 2020. Despite the result, the reading shows positive signs. Revenue continues to grow solidly, albeit with signs of slowing down. On the other hand, mandatory expenditures remain a source of pressure on the spending cap, but weaker execution of discretionary spending has provided some relief. **Thus, we expect an improvement in primary results in the coming months.**

We believe that the government will meet its primary result target this year. The implementation of the plan to mitigate the

Tax collection shows slight slowdown, following economic activity and inflation
YoY. 3MMA. SAS. (%)

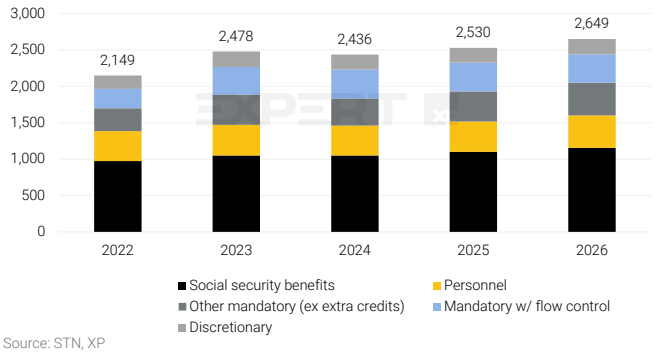


Source: RFB, XP

effects of US tariffs on Brazilian exports, with a total estimated cost of BRL 9.5 billion over two years, increases the projected deficit for the year. However, this cost will not be counted for the purposes of the primary result target. **As a result, we have raised the total deficit projection from BRL 63.7 billion to BRL 69.1 billion (0.5% of GDP) and maintained the deficit projection for the purpose of meeting the target at BRL 14.1 billion (0.1% of GDP) – BRL 17.0 billion above the lower limit of the primary result target (BRL 31.0 billion or 0.25% of GDP).**

However, complying with the spending limit remain. The data show a gradual reduction in the backlog of requests and a consequent normalization of the flow of social security and welfare benefit payments, which will put pressure on these expenses in the coming months. However, the financial impacts are still below our estimates. Thus, we have slightly reduced our estimate of the additional expenditure blocks from BRL 5 billion to BRL 4.3 billion.

Mandatory spending is expected to grow by almost 5% in real terms in 2026
Mandatory and discretionary spending (BRL Bn as of Dec/26)



Source: STN, XP

Despite overestimated revenues, the 2026 budget indicates that it is feasible to meet the lower limit of the formal primary balance target. With additional revenues estimated at BRL 110.8 billion resulting from the reduction of tax benefits, oil auctions, and extraordinary dividends, among others, the government expects to deliver a deficit of BRL 23.3 billion – considering the allowed discounts from the target, a surplus of BRL 34.5 billion. In our view, the government's assumptions are optimistic in relation to revenue realization – in our scenario, we expect a lower gain (BRL 65.1 billion), **which should bring the deficit to BRL 77.3 billion (0.5% of GDP), or a deficit of BRL 19.4 billion (0.1% of GDP) with legal discounts**. We did include the additional BRL 12.4 bn in the spending limit as allowed by the PEC 66/2023.

BRL bn

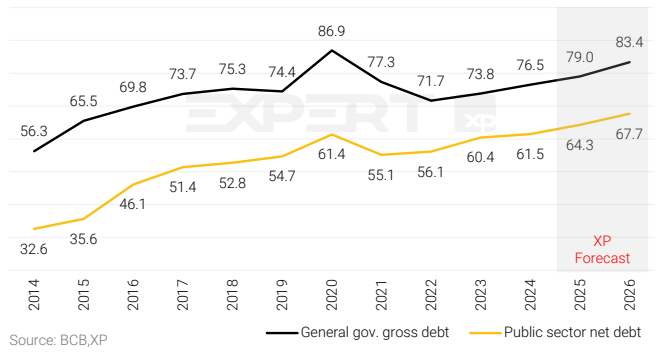
Origin	Measures	Gov	XP
MP n. 1,303/25	Taxation fo exempt securities	2.6	1.2
MP n. 1,303/25	Increase in betting tax	1.7	2.5
MP n. 1,303/25	Change in CSLL for fintechs	1.6	1.6
MP n. 1,303/25	Increase in interest on equity (IoE)	5.0	6.0
MP n. 1,303/25	Undue tax compensations	10.0	2.0
PLP n. 182/2025	Tax expenditures reduction	19.8	0.0
NI	Full transaction program	20.0	20.0
MP n. 1,307/25	Incentive for Data Centers	-5.2	-5.2
MP n. 1,309/25	Reintegra	-1.5	-3.0
NI	Other	-1.1	0.0
Law n. 15,164/25	Oil auctions	31.0	20.0
NI	Dividends (extraordinary part only)	20.0	20.0
NI	Non-tax transactions	7.0	0.0
Total		**110.8**	**65.1**

Source: 2026 budget bill. NI = not identified

Mandatory expenditures, on the other hand, are underestimated. We estimate that social security benefits and BPC/LOAS are underestimated by BRL 3.8 billion and BRL 13.5 billion, respectively. We also see greater pressure from the electoral fund, which was sent to Congress at a much lower level than in 2024.

And expenditure risks are skewed upward. Judicial and legislative decisions have imposed new expenditures on the government. **In our estimates, there are potential risks of around BRL 12 billion with more recent decisions,** which involve the payment of BPC/LOAS to victims of domestic violence and the recognition of fibromyalgia as a disability, among others.

Public debt rises even as government meets primary balance target
(% of GDP)



Source: BCB,XP

Regional governments maintain a surplus for the year. The trend for regional governments continues to show a recovery for municipalities, combined with a gradual deterioration in the results for states. State-owned companies, in turn, maintain a deficit similar to last year's. Thus, we estimate a deficit of BRL 60.9 billion, or 0.5% of GDP for 2025, and BRL 76.1 billion, or 0.6% of GDP in 2026 for the consolidated public sector.

Despite meeting its targets, the government will not be able to stabilize its debt. We expect the general government gross debt (GGGD) to reach 79.0% of GDP and 83.4% of GDP at the end of 2025 and 2026, respectively. Net public sector debt (NPSD) is

expected to end the year at 64.3% of GDP and next year at 67.7% of GDP. In both cases, we see that the debt trend remains high, a consequence of the high implicit cost of public debt, which led the country to record its largest nominal deficit since 2020 in July.

Fiscal reforms are key to reversing the trend, but the effort must be significant. Even assuming a scenario with real interest rates lower than current rates (around 5.0%) and balanced economic growth of 2.5%, the government would still need a surplus of 1.4% of GDP to stabilize public debt. This represents an additional effort of almost 2 p.p. of GDP, based on current fiscal results, which shows the size of the challenge for the coming years.

Primary balance required to stabilize GGGD

Real interest rate (%)	GDP growth (%)			
	1.5	2.0	2.5	3.0
4.5	1.8	1.4	1.0	0.6
5.0	2.2	1.8	1.4	1.0
5.5	2.6	2.2	1.7	1.3
6.0	3.0	2.6	2.1	1.7

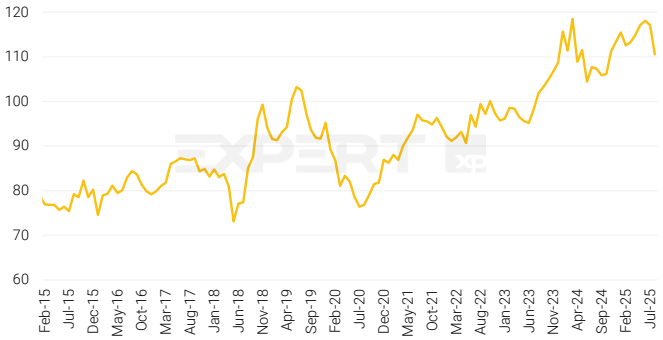
Source: XP

External Accounts – Current account deficit set to exceed FDI inflows in 2025 and 2026

Luíza Pinese

The impact of the 50% tariffs imposed by the United States is starting to show in Brazil's trade balance. In August, export volumes to the US fell 15.4% MoM. Sectors more reliant on the American market and not granted exemptions, such as furniture, saw a sharp contraction in overall shipments. Exports from industries like aviation, steel, and pulp also declined, even though they were not directly subject to the 50% tariff. According to the Ministry of Development, Industry, and Trade (MDIC), part of this adjustment reflects the front-loading of shipments in July. Our forecast already incorporates a negative effect of USD 2.0 billion this year. **We maintain our forecast for the trade balance at USD 66.5 billion for 2025 and USD 62.0 billion for 2026, below the USD 74.3 billion in 2024 (MDIC methodology).**

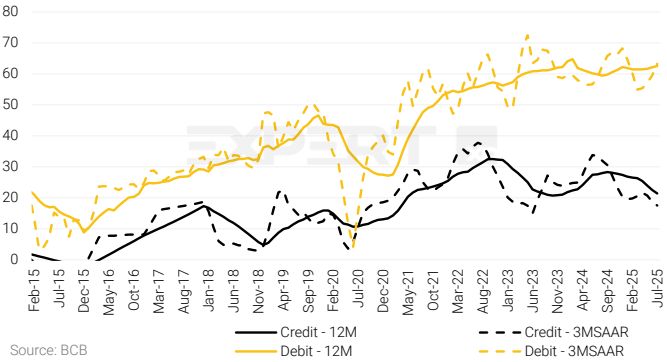
Exports to the US fall by 15% in August amid higher tariffs
Volume exported to the US. 3MMA. SAS



Source: MDIC

A narrower trade surplus combined with a wider primary income deficit is weighing on the current account this year. Back in January, our projection for the 2025 current account deficit was USD 52.5 billion (2.6% of GDP). Since then, in addition to the smaller trade surplus, lower credit from profits and dividends related to direct investment - under the Primary Income account - have also weighed on the current account. This trend has been evident since the start of the year — particularly after June's data revision — and is likely to persist. As a result, we have slightly revised upward our forecast for primary income account deficit by USD 1.5 billion this year and USD 3.0 billion next year. **Consequently, we now project a current account deficit of USD 75.0 billion (3.3% of GDP) in 2025, compared with USD 73.5 billion (3.1% of GDP) previously, and USD 72.4 billion (3.0% of GDP) in 2026, compared with USD 69.4 billion (2.9% of GDP) before.**

Lower revenues from profits and dividends in the primary income account are pressuring the current account deficit this year
Primary Income - dividends from direct investment (USD Bn)



Source: BCB

We keep our forecast for FDI at USD 70.0 billion in 2025 (3.0% of GDP) and USD 65.0 billion in 2026 (2.7% of GDP). Although

these are still strong numbers, Foreign Direct Investment (FDI) inflows will likely fall short of fully covering the current account deficit for at least the next two years. Geopolitical uncertainty remains an additional risk to FDI inflows.

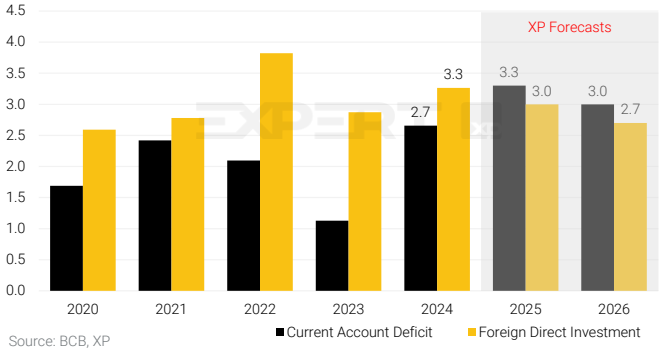
Despite the weaker external accounts, Brazil's external position remains solid. The country still holds a sizable stock of international reserves — USD 345 billion, or 15% of GDP — and maintains low levels of foreign-currency debt. In addition, the ongoing slowdown in domestic activity should help stabilize the current account deficit in the coming quarters. Even so, the gradual deterioration of the balance of payments warrants close monitoring.

Exchange Rate Outlook: Volatility, but no clear trend

We keep our YE 2025 exchange rate forecast at 5.50 reais per dollar. The BRL has been relatively stable recently, after a significant appreciation in the first semester (along with other EM currencies). Looking forward, we believe risks are balanced. Externally, the monetary easing cycle and the White House's attempts to influence the Fed could trigger another wave of global dollar weakness. The impact on emerging-market currencies, however, will depend on the effect on risk sentiment. On the domestic front, on the one side, fiscal uncertainties remain significant, and the external financial needs are now positive. On the other side, high interest rates and the 2026 electoral cycle continue to provide support to the currency.

For YE 2026, despite elevated uncertainty, we keep our forecast at 5.70 reais per dollar, broadly consistent with the inflation differential. The BRL, like other Brazilian assets, will be shaped by developments in the global geopolitical environment and by the outlook for fiscal reforms in Brazil from 2027 onward.

Current account deficit expected to exceed Foreign Direct Investment this year and next
(% of GDP)



Source: BCB, XP

XP Forecasts - Balance of Payments — USD Bn

	2023 USD Bn	2024 USD Bn	2025 (P) USD Bn	2026 (P) USD Bn
Current account	**-27.9**	**-57.9**	**-75.0**	**-72.4**
Trade Balance	**92.3**	**65.8**	**52.4**	**53.7**
Exports	343.8	339.9	342.3	350.9
Imports	251.5	274.0	289.9	297.2
Services	**-43.3**	**-55.0**	**-55.6**	**-59.0**
Transportation	-12.7	-15.1	-15.0	-15.5
Intellectual property	-5.5	-8.7	-11.0	-12.5
Equipment rental	-9.5	-11.2	-12.3	-13.0
Cultural services	-4.1	-4.8	0.0	0.0
Others	-11.5	-15.3	-17.3	-18.0
Income	**-76.9**	**-68.8**	**-71.8**	**-67.1**
Primary Income	-79.5	-72.1	-75.2	-70.1
Profits and Dividends	-50.0	-42.1	-47.0	-44.5
Interest	-29.7	-30.5	-28.5	-26.0
Others	0.3	0.5	0.4	0.4
Secondary Income	2.6	3.3	3.4	3.0
FDI	**62.4**	**71.1**	**70.0**	**65.0**
Equity Capital	52.8	60.1	60.0	55.3
Intercompany transactions	9.6	11.0	10.0	9.8

Source: BCB, XP

Inflation – Service inflation remains resistant amid a tight labor market

Alexandre Maluf

Current inflation has improved but remains distant from the target. Recent IPCA readings showed deflation in food prices and stability in the industrial goods group. The weakening of the dollar, robust food harvests, and favorable weather conditions for fresh food items explain this movement. In the short term, we expect this benign dynamic to continue for these groups. On the other hand, service inflation—especially for labor-intensive services—rose again in August, reflecting an overheating labor market and still unanchored expectations. All things considered, the IPCA remains far from the 3.0% target despite recent improvements.

Prices of industrial goods are expected to remain well-behaved this year and next. The exchange rate appreciation in the first half of the year continues to ease pressure on prices of durable and semi-durable goods, albeit to a lesser extent. Import prices remain in negative territory, reflecting secondary impacts of the trade war between the United States and other nations. Additionally, a scenario of declining automobile prices was confirmed, following the government's reduction of the IPI tax. Looking ahead to 2026, inflation in this group should remain well-behaved, below the historical average, based on our assumption of a slight increase in commodity prices and the nominal exchange rate.

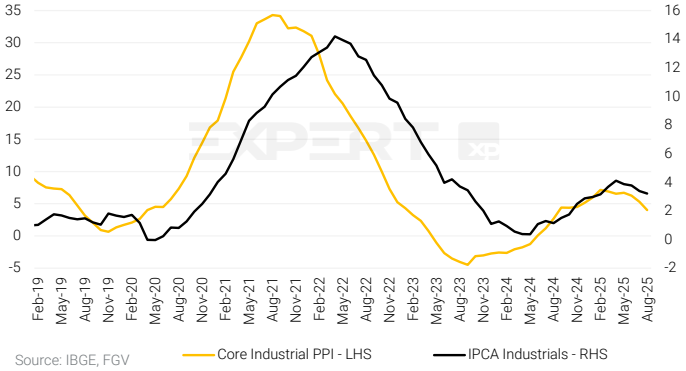
Services inflation will continue to be pressured by the tight labor market. The unemployment rate remains at historic lows, and real wages continue on a solid trajectory. After recent relief in service price dynamics, we observed a rebound in August, spread across the main labor-intensive subitems. We do not expect a consistent reacceleration ahead but recognize that the fundamentals for service inflation — employment, income, inertia and expectations — do not suggest a persistent and widespread decline. Regarding core services, which exclude volatile items, we expect a decline from 6.8% in 2025 to 5.6% in 2026, still distant from the target range. Despite some economic slowdown, we foresee a consistently tight labor market and firm minimum wage adjustments. Moreover, inflation expectations should ease but not sufficiently to ensure convergence of service inflation toward the target.

Temporary relief in energy tariffs in August. The IPCA-15 showed a 4.9% deflation in electricity prices, due to the payment of the Itaipu Bonus in tariffs. However, the National Electric Energy Agency (Aneel) announced the activation of 'red flag' 2 in September, the same level as in August. Consequently, tariffs are expected to rise sharply, by nearly 10% this month. For the remaining months of the year, we project 'red flag 1' in October and 'yellow flag' levels in November and December. Indeed, despite recent heavy rains in southern Brazil, the operation of thermal power plants remains high. For 2026, we also project a 'yellow flag' in December.

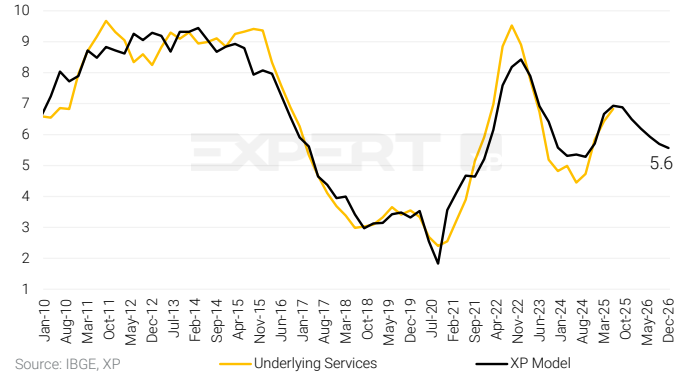
We now see stable fuel prices until the end of the year. We no longer expect a reduction in gasoline prices in September. Oil prices have shown resilience amid geopolitical uncertainties. Still, we did not increase the annual headline IPCA forecast since other items, such as industrialized goods and foodstuff, came out below expectations in recent IPCA readings.

Food inflation is expected to remain below the historical average in 2026, but proteins represent the main risk. Prices of fresh items such as vegetables, greens, and tubers have fallen considerably in recent weeks, driving a 1% deflation in the group in August. We expect a moderate return to positive territory in September and stronger numbers in the last quarter, in line with seasonality. For 2026, we hold a structurally bearish view for grains, and the weather should be favorable for fresh items. On the other hand, proteins are expected to accelerate due to the reversal of the agricultural cycle, and cereals should give back part of this year's decline.

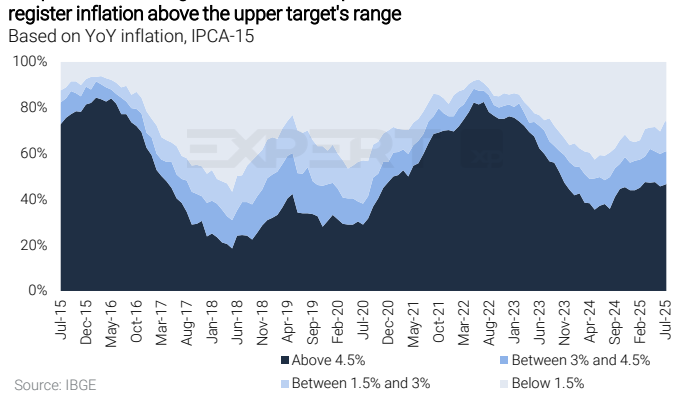
Cooling in wholesale inflation suggests moderation in industrialized goods prices in the coming months
IPCA, IPA-M (%), 12M



Services inflation is expected to remain well above the target in the coming quarters due to tight labor market
Underlying Services, IPCA (%)



Despite recent easing, 48% of IPCA components continue to register inflation above the upper target's range
Based on YoY inflation, IPCA-15



We project food inflation at home of 5.6% this year and 5.9% in 2026.

All things considered, we maintain our IPCA projection for 2025 at 4.8%.

For 2026, we keep it at 4.5%, despite the reduction in the IPVA tax in Paraná state. The Paraná government announced a significant reduction in IPVA prices, which would reduce our projection by 0.1 p.p. for next year. However, the labor market has been more robust than expected, which should continue in 2026 with the likely economic reacceleration in response to electoral-period stimuli. Additionally, the acceleration in protein prices may be more intense than contemplated in our base scenario. That said, we opted to keep the 2026 projection unchanged despite the reduction in the Paraná vehicle tax.

IPCA Groups — 12M (%)

	2023	2024	2025 (F)	2026 (F)
Monitored prices	9.1	4.7	4.7	4.0
Market-set prices	3.1	4.9	4.8	4.7
Food at home	-0.5	8.2	5.6	5.9
Industrials	1.1	2.9	2.4	3.2
Services	6.2	4.8	6.0	5.3
IPCA headline	**4.6**	**4.8**	**4.8**	**4.5**

Source: IBGE, XP

Monetary Policy – Curb your enthusiasm

Caio Megale

The balance of risk for inflation has improved recently. Recent IPCA readings came in broadly at or below expectations, with a benign breakdown. Inflation expectations edged down for the short and medium term. Economic activity lost steam in the second quarter, and the Fed will probably resume its easing cycle this month.

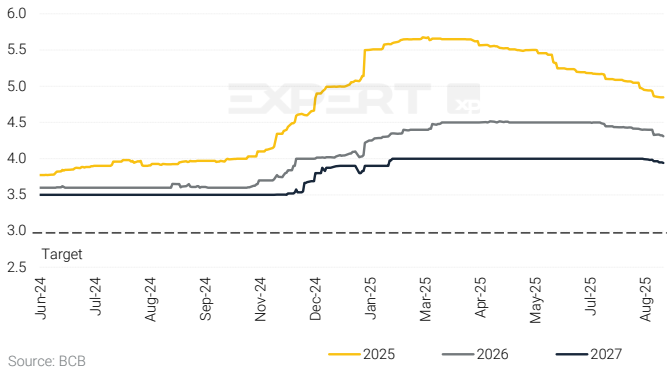
But we remain far from the target. Current inflation and expectations are closer to the upper bound of the target range than to the target. The next mile towards the BCB's goal will be harder, considering that the effects of stronger BRL fading, the economy decelerating just gradually and the labor market remains heated.

Moreover, there is more economic stimulus on the pipeline (court-ordered payments, income tax break), that should keep GDP above its potential level in the coming quarters.

Thus, it seems too early to discuss rate cuts. As a matter of fact, BCB officials continue to emphasize in their public speeches that the Selic rate should remain unchanged for a "very prolonged time". If the recent improvement of inflation outlook consolidates over the coming months, the Copom should eventually have some room for a less tight monetary policy.

A gradual easing cycle in 2026. We anticipate a monetary easing cycle starting in January, with the Selic rate reaching 12.00% after six consecutive 50-bp cuts. The Selic would stabilize at around 7.5% in real terms, above what we consider neutral, due to fiscal challenges for the next presidential mandate.

Medium-term inflation expectations have edged down, but remain well above the 3.0% target
Median market expectation from Focus Survey (%)



Source: BCB

Neutral monetary policy depends on fiscal reforms. For the benchmark rate to get closer to its neutral level – around 5.50% in real terms – greater progress will be needed both in rebalancing the output gap and (mainly) in improving the prospects for fiscal reforms from 2027 onwards.

XP Forecasts

	2020	2021	2022	2023	2024	2025 (F)	2026 (F)
GDP growth (%)	-3.3	4.8	3.0	3.2	3.4	2.2	1.7
Unemployment rate (% s.a., end of period)	14.7	11.7	8.3	7.6	6.5	6.0	6.3
IPCA (CPI, %)	4.5	10.1	5.8	4.6	4.8	4.8	4.5
SELIC rate (% p.a., end of period)	2.00	9.25	13.75	11.75	12.3	15.00	12.00
FX (USDBRL, end of period)	5.20	5.58	5.28	4.86	6.2	5.50	5.70
Central government primary balance (% GDP)	-9.8	-0.4	0.5	-2.4	-0.4	-0.5	-0.6
Primary balance for target calculation (% GDP)*	--	--	--	--	-0.1	-0.1	-0.1
Public sector primary balance (% GDP)	-9.2	0.7	1.2	-2.3	-0.4	-0.5	-0.6
Public sector overall balance (% GDP)	-13.6	-4.3	-4.6	-8.8	-8.5	-8.1	-8.3
General government gross debt (% GDP)	86.9	77.3	71.7	73.8	76.5	79.0	83.4
Net public sector debt (% GDP)	61.4	55.1	56.1	60.4	61.5	64.3	67.7
Trade Balance (USD Bn)	35.7	42.3	51.5	92.3	65.8	52.4	53.7
Exports (USD Bn)	210.7	284.0	340.2	343.8	339.9	342.3	350.9
Imports (USD Bn)	175.0	241.7	288.7	251.5	274.0	289.9	297.2
Current Account (USD Bn)	-24.9	-40.4	-42.2	-27.9	-61.2	-75.0	-72.4
Current Account (% GDP)	-1.7	-2.4	-2.2	-1.3	-2.8	-3.3	-3.0
FDI (USD Bn)	38.3	46.4	74.6	62.4	71.1	70.0	65.0
FDI (% GDP)	2.6	2.8	3.8	2.9	3.2	3.0	2.7
Nominal GDP (USD Bn)	1,475	1,670	1,951	2,190	2,178	2,298	2,415
Nominal GDP (BRL Bn)	7,610	9,012	10,080	10,943	11,745	12,686	13,522

* Excludes court-ordered payments beyond the limit

Source: IBGE, BCB, BBG, XP

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